EQUITY RESEARCH REPORT | CHINA SEMICONDUCTOR | 5–10 YEAR HORIZON

Five Names for a Favourable 5–10-Year Outlook

A focused equity research report on five China-listed semiconductor companies positioned to benefit from domestic substitution where pricing is protected by a chokepoint moat or differentiated demand.

METHODOLOGY & REFRAMING

Financial metrics are sourced (stockanalysis.com, Investing.com, company results) and dated late-2025 to mid-2026; Chinese semis trade at high, volatile multiples, so figures are **directional** and flagged for terminal reconciliation. Three template items are reframed rather than fabricated, consistent with our standing approach: **bull/bear 'targets'** are scenario drivers and thesis-breakers; **entry/stop-loss** is reframed as a sourced 52-week reference band plus thesis-breaker triggers for you to set your own levels; and the **'subsector average' P/E** is a transparent peer proxy from named constituents, not an invented figure. Moat (1–5) and risk (1–10) are qualitative judgements with reasoning. This is research, not investment advice; the author is not a financial adviser.

1. Executive summary

This report selects five China-listed semiconductor companies for a five-to-ten-year hold, drawn from a wider ten-name screen and chosen for the best risk-adjusted expression of a single thesis from our industry work: the durable winners ride domestic substitution with pricing *protected* by either an upstream chokepoint moat or genuinely differentiated demand, rather than commodity mature-node capacity exposed to the price war.

The five span the value chain with deliberately low overlap in their risk drivers: **NAURA** (002371.SZ), the domestic process-equipment platform leader and the cleanest chokepoint play; **Montage Technology** (688008.SH), a global memory-interface oligopolist whose moat does not depend on China policy; **SMIC** (0981.HK / 688981.SH), held for its unique advanced-node optionality; **OmniVision** (603501.SH), a global-top-three image-sensor maker at the most reasonable valuation in the set; and **JCET** (600584.SH), the world's third-largest assembly-and-test house and the low-risk value anchor with a real dividend. We deliberately exclude the two AI-compute names from the wider list (Cambricon, Hygon): they are the strongest demand story but, at roughly 250–330x earnings and a risk rating of 8–9, the least favourable on a risk-adjusted hold.

2. Selection framework

Our industry overview concluded that value in China's chip complex accrues to firms whose pricing is shielded — either by a technology moat at an upstream chokepoint (equipment, EDA, interface IP) or by captive, differentiated demand — and that commodity mature-node foundries are most exposed to oversupply. Applying that filter and ranking the wider screen on a qualitative moat-versus-risk map, these five sit closest to the favourable corner (wide moat, lower risk) while preserving breadth across the chain: equipment (NAURA), interface components (Montage), foundry optionality (SMIC), differentiated demand (OmniVision) and packaging value (JCET).

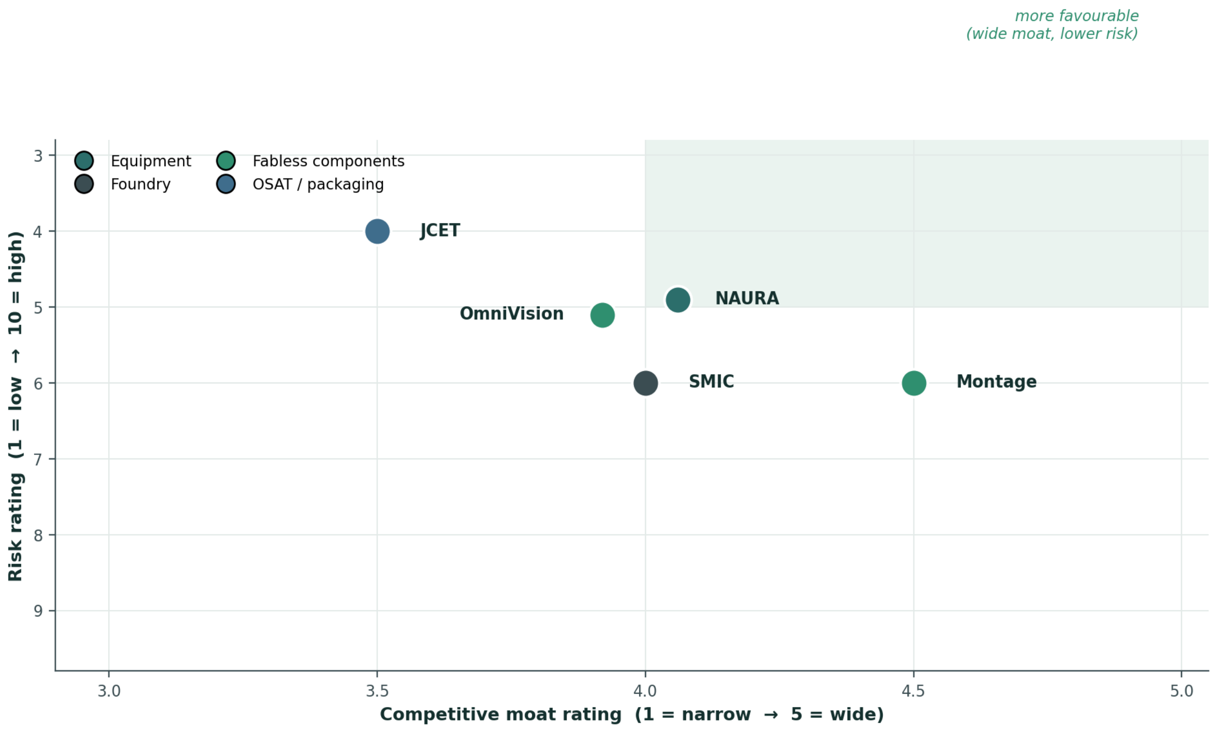

Figure 1. Risk vs. competitive-moat map for the five holdings. Bottom-right (wide moat, lower risk) is the more favourable zone. Ratings are qualitative judgements explained in Section 3.

3. The five holdings

Each holding is assessed on why it is preferred to its closest competitor, the financial profile, and the bull / bear drivers with a re-entry and thesis-breaker frame (in place of point price targets and stop-losses, per the note above).

3.1 NAURA Technology (002371.SZ) — equipment platform | Moat 4.0/5 · Risk 5/10

NAURA is the anchor of the report and the cleanest expression of the chokepoint thesis. It is the only fully-developed domestic process-equipment platform at scale — spanning etch, deposition, thermal processing, cleaning and ion implantation — with FY2025 revenue of roughly RMB39bn (+31%) and return on equity near 21% on a net-cash balance sheet. We prefer it to AMEC, the obvious alternative, because breadth and scale compound faster across a multi-tool localisation wave: as fabs localise dozens of tool types, the platform vendor captures more of each fab's spend than a single-product specialist (AMEC is deeper but narrower, etch-led). Unusually for this cohort, the highest-quality name is not the most expensive — its ~48x trailing P/E sits *below* the equipment peer proxy of ~57x. **Bull case:** multi-tool share gains as Big Fund III tilts to equipment, with etch and deposition localisation rising from ~30% toward 45%+. **Bear case:** re-access to foreign tools or US sub-component controls, and a rich multiple that de-rates if the China capex cycle cools. The thesis is more attractive while forward P/E holds below the peer proxy on sustained >25% growth, and breaks on loss of the substitution mandate or component-level export curbs (52-week reference band ~CNY 314–775).

3.2 Montage Technology (688008.SH) — memory interface | Moat 4.5/5 · Risk 6/10

Montage is the highest-quality franchise in the report and the one name whose moat does not depend on Chinese policy. It is one of only three global suppliers of DDR5 register clock drivers — alongside Rambus and Renesas (IDT) — a genuine global oligopoly, levered to DDR5 penetration, MRCD/MCRDIMM and CXL for AI servers. We prefer it to its foreign peers on positioning: a Chinese-headquartered oligopolist captures both the global memory-upgrade cycle and domestic preference. Valuation is full at ~120x (above the ~95x components proxy), reflecting the AI-server memory tailwind, on a net-cash balance sheet. **Bull case:** DDR5 and AI-server memory content, PCIe retimer / CXL ramp, and oligopoly pricing power. **Bear case:** memory-cycle sensitivity, the rich multiple, and foreign peers' design lead at next-generation interface nodes. Re-entry is cleaner on a memory-cycle pullback with content gains intact; the thesis breaks if it loses the three-player oligopoly slot (52-week reference band ~CNY 78–289).

3.3 SMIC (0981.HK / 688981.SH) — foundry | Moat 4.0/5 · Risk 6/10

SMIC is held for optionality rather than current economics. It is the only mainland foundry with advanced-node (7nm via DUV) capability and the largest at scale (FY2025 revenue US$9.33bn, +16%), and we prefer it to Hua Hong because it carries the leading-edge call option the Five-Year Plan most wants — Hua Hong is steadier on specialty and power but lacks that optionality. The trade-off is margin: depreciation compresses gross margin to ~19% even at ~96% utilisation, making this the lowest-quality earnings stream of the five today, with valuation (~68x) a touch above the foundry proxy (~60x). **Bull case:** advanced-node scale-up if tool access eases, plus AI / auto / power demand and a strategic premium as national champion. **Bear case:** the depreciation drag, entity-list status, and front-line exposure to the mature-node price war. The setup clears once depreciation and margins trough; it breaks on tighter DUV-service controls or a sustained sub-20% gross margin. Dividend is minimal (capex reinvestment).

3.4 OmniVision / Will Semi (603501.SH) — CMOS image sensors | Moat 4.0/5 · Risk 5/10

OmniVision is the report's value-for-quality name. As the global number-three CMOS image-sensor maker it competes on intellectual property, not merely localisation, with real automotive design-win momentum and the most reasonable valuation of the five (~40x, well below the components proxy of ~95x; FY2025 revenue RMB28.85bn, +12%). We prefer it to passive Sony / Samsung exposure because its automotive and medical end-markets diversify it away from smartphone cyclicality. **Bull case:** automotive CIS content growth, high-end smartphone share regain, and ADAS / medical endoscopy. **Bear case:** smartphone cyclicality, Sony / Samsung pressure at the high end, and consumer-demand softness. It offers the most reasonable entry of the cohort on continued automotive-CIS delivery; the thesis breaks on smartphone share loss or automotive design-win slippage.

3.5 JCET Group (600584.SH) — OSAT / advanced packaging | Moat 3.5/5 · Risk 4/10

JCET is the low-risk value and cyclical anchor. As China's largest and the world's third-largest assembly-and-test house, it has the scale and advanced-packaging capability (SiP, chiplet, bumping) that the chiplet workaround to node limits most needs, plus a global footprint (including the former STATS ChipPAC). We prefer it to Tongfu and Huatian for that scale and the report's lowest valuation (~30x versus the OSAT proxy of ~38x), together with a real ~1% dividend — the only meaningful yield in the set. **Bull case:** advanced-packaging and chiplet demand as node-scaling stalls, with AI and automotive packaging content. **Bear case:** OSAT is lower-margin and more commoditised, capital-intensive (higher debt-to-equity), with customer concentration and cyclicality. It is the lowest-multiple entry with packaging upside; the thesis breaks on advanced-packaging share loss to TSMC or ASE, or a utilisation collapse.

4. Financial metrics at a glance

P/E is shown against the named subsector peer proxy; figures are directional and date-mixed — reconcile on Bloomberg/Wind before sizing. Payout-sustainability score: 1 (stretched) to 5 (fully covered).

Company	Sub-sector	P/E (vs subsector proxy)	5Y rev CAGR*	D/E	Div yld / payout	Moat /5	Risk /10
NAURA	Equipment	~48x (proxy ~57x) ▼	~40%	~0.2 (net cash)	0.18% / 5	4.0	5
Montage	Memory IF	~120x (proxy ~95x) ▲	~25–30%	net cash	0.22% / 4	4.5	6
SMIC	Foundry	~68x (proxy ~60x) ▲	~19% (USD)	~0.3–0.4	— / n.a.	4.0	6
OmniVision	CMOS sensors	~40x (proxy ~95x) ▼	~15%	moderate	small / 4	4.0	5
JCET	OSAT	~30x (proxy ~38x) ▼	~10%	~0.5	~1% / 4	3.5	4

**5Y revenue CAGR approximate from reported revenue history. ▲ above / ▼ below the subsector peer proxy. Peer proxies (sourced constituents): Equipment = NAURA/AMEC/ACM; Memory interface = Montage vs Rambus/Renesas; Foundry = SMIC/Hua Hong; CMOS sensors = OmniVision vs Sony/Samsung; OSAT = JCET/Tongfu/Huatian.*

Portfolio synthesis

How the five fit together —
the set runs across the chain — equipment, interface components, foundry, image sensors and packaging — so the risk drivers are largely independent: a tool-localisation play, a global memory-cycle oligopolist, a strategic foundry option, a consumer / auto IP play, and a cyclical value anchor.

What they share, what differentiates them —
all five carry exposure to domestic substitution and to export-control tail risk; only Montage and OmniVision have moats that stand independently of Chinese policy, which is why they screen as the highest-quality demand-side holdings.

Where conviction is highest —
NAURA and Montage on protected pricing (a chokepoint platform and a global oligopoly); OmniVision and JCET on valuation already reflecting the risk. SMIC is the option, not the core — owned for advanced-node upside, not present economics.

Key risks to the whole basket —
deeper or node-agnostic export controls; full valuations on three of the five; and the mature-node price war, which most directly pressures SMIC. All multiples should be reconciled on Bloomberg/Wind before sizing.

Bottom line —
a barbell of protected-pricing quality (NAURA, Montage) and reasonably-valued differentiated demand (OmniVision, JCET), with a single high-optionality foundry call (SMIC). This is research to support your own analysis, not a recommendation on any specific security.

DATA-RECONCILIATION & SUITABILITY CAVEAT

Multiples here are high and move fast; several names re-rated 50–300% over the past year. Before any position-sizing: (1) refresh P/E, D/E, dividend and 52-week ranges on **Bloomberg** or **Wind**; (2) confirm SMIC and HK-listed figures against primary filings (HKEX / SSE STAR); (3) treat P/E-vs-proxy as directional only — for high-growth names forward P/E and PEG are more informative than trailing P/E. The re-entry bands are sourced 52-week references for *your* own entry/stop framework, not recommended levels. This report is research, not investment advice.

Selected sources

- Company results & guidance for NAURA, Montage, SMIC (Caixin / Power Semiconductors Weekly, Feb–Mar 2026), OmniVision and JCET (FY2024–Q1 2026).
- stockanalysis.com quote/statistics pages for each ticker (2025–26 snapshots); Investing.com / companiesmarketcap.com / Trading Economics for P/E, dividend and 52-week ranges.
- Simply Wall St; PitchBook; Yahoo Finance market-cap and analyst-range data (mid-2026).
- Industry context carried from the prior China Semiconductor Industry Overview (SIA, CSIS, CRS, TrendForce, DBS, Yole, Tianxia Gongchang).